

Central Bank Policy

Why Interest Rates Move Everything — Lesson Explainer

The Concept

Central banks set a benchmark short-term interest rate that ripples through the entire economy. Raising it makes borrowing more expensive, cooling spending and investment; cutting it does the reverse. This is monetary policy's primary tool, balancing inflation control and employment support.

Higher rates make bonds relatively more attractive versus stocks, and directly reduce the present value of future cash flows - hitting high-growth stocks hardest, since more of their value sits in cash flows further out.

Markets react to what a central bank signals about the future, not just what it does now. Forward guidance about future rate paths can move markets more than the announced change itself.

Illustrative Example: A Rate Hike's Ripple Effect

A hypothetical 1-percentage-point rate hike and its typical, illustrative effects.

Area	Typical Direction	Why
New Mortgage Rates	Rise	Lenders' costs rise, passed to consumers
Bond Prices (Existing)	Fall	Fixed rates less attractive vs. new bonds
High-Growth Stock Valuations	Fall	Distant cash flows discounted more heavily
Currency (Domestic)	Often Rises	Higher rates can attract foreign capital

A single rate decision ripples across mortgages, bonds, stocks, and currencies simultaneously - one of the most closely-watched forces in all of macro investing.

5 Things to Know About Central Bank Policy

1. Rate decisions balance inflation and employment - too aggressive either way carries risk.
2. Forward guidance often moves markets more than the decision itself.
3. Rate changes act with a lag - the full effect typically takes many months to show up.
4. Different central banks can diverge - creating currency and capital-flow effects.
5. Markets price in expected future moves - an already-expected decision moves markets less.

4 Things to Check Around a Rate Decision

- Know the meeting calendar - major central banks announce on a fixed, published schedule.
- Read the guidance, not just the number - the statement often carries more information.
- Check what was already priced in - a decision matching consensus moves markets less.
- Remember the lag - don't expect an immediate, full economic effect.

Worth knowing:

this explains central bank policy mechanics using illustrative numbers - it isn't personalized financial advice, and no market reaction here is a recommendation to trade. Actual market reactions to rate decisions vary and are never fully predictable.

Quiz — Answer the questions, then check the key on the next page

1. What happens when a central bank raises its benchmark interest rate?

- A. Borrowing becomes cheaper across the economy
- B. Stock prices are guaranteed to rise
- C. Borrowing becomes more expensive, which tends to cool spending and investment
- D. Nothing changes in the broader economy

2. Why do higher interest rates tend to hit high-growth stocks harder than mature ones?

- A. High-growth stocks are always illegal to trade during rate hikes
- B. High-growth stocks pay higher dividends
- C. High-growth stocks have lower trading volume
- D. More of their value sits in distant future cash flows, discounted more heavily at higher rates

3. Why can forward guidance move markets more than the rate decision itself?

- A. Forward guidance is always ignored by markets
- B. It reveals information about likely future decisions, which markets price in ahead of time
- C. Forward guidance is a legal requirement with no market impact
- D. It only applies to currency markets, not stocks or bonds

4. What does it mean that rate changes "act with a lag"?

- A. The full economic effect of a rate move typically takes many months to fully show up
- B. Rate changes only affect markets, never the real economy
- C. Rate changes are announced with no advance notice
- D. Rate changes reverse themselves automatically after a year

5. What two goals does monetary policy typically try to balance, according to this lesson?

- A. Stock prices and bond prices
- B. Currency strength and gold prices
- C. Controlling inflation and supporting employment
- D. Government tax revenue and spending

Answer Key

1. What happens when a central bank raises its benchmark interest rate?

Correct answer: C. Borrowing becomes more expensive, which tends to cool spending and investment

Raising the benchmark rate makes borrowing more expensive across the economy.

2. Why do higher interest rates tend to hit high-growth stocks harder than mature ones?

Correct answer: D. More of their value sits in distant future cash flows, discounted more heavily at higher rates

A higher discount rate reduces the present value of distant cash flows more than near-term ones.

3. Why can forward guidance move markets more than the rate decision itself?

Correct answer: B. It reveals information about likely future decisions, which markets price in ahead of time

Markets are forward-looking, so hints about future rate paths can move prices significantly.

4. What does it mean that rate changes "act with a lag"?

Correct answer: A. The full economic effect of a rate move typically takes many months to fully show up

Rate changes work through the economy over time, not instantly.

5. What two goals does monetary policy typically try to balance, according to this lesson?

Correct answer: C. Controlling inflation and supporting employment

Central banks typically balance controlling inflation against supporting employment.